

Market Insights

Weekly Market Commentary

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November 3rd, 2025



» Sarvesh Tikku, Head of Market Insights

Global Financial Markets Weekly Review: Week Ending Nov. 3, 2025

Equities: U.S. equities ended the week mixed as markets balanced strong corporate earnings against renewed rate sensitivity. Healthcare stocks underperformed, XLV slipped about 1.8%, as rising Treasury yields weighed on defensives despite resilient Q3 results from firms like UNH and LLY. Consumer discretionary sectors like XLY held firm, supported by strength in travel, leisure, and services spending, even as retail and housing activity softened. Financials (XLF) remained largely stable, with the Fed's 25 bps cut to 3.75% compressing bank margins but improving loan demand prospects. Materials (XLB) led losses, falling over 4% as Linde and Newmont's guidance cuts amplified concerns about global demand. Overall, rotation favored cyclicals over defensives as investors digested the Fed's "hawkish cut" and awaited clearer macro direction heading into year-end.

Fixed Income: Bond markets stabilized after the FOMC's decision to cut rates while halting balance-sheet runoff from December 1. Intermediate Treasuries benefited from easing yields and strong demand for duration exposure, while inflation-linked securities (TIPS) slipped 0.4% as real yields climbed. Credit markets remained firm, high yield (JNK) extended gains (+5.1% YTD) with spreads compressing near two-year lows around 350 bps, reflecting strong risk appetite and resilient earnings. Despite this strength, valuations appear stretched, leaving limited buffer should growth or refinancing conditions weaken. With refunding concerns rising and inflation moderating but sticky, investors continued shifting toward high-quality and intermediate-duration debt for stability amid a cautious policy backdrop.

Commodities: Energy and metals markets saw sharp contrasts this week. WTI crude rose modestly to \$60.89/barrel as U.S. sanctions on Russian producers and Venezuelan tensions supported prices, while Brent crude slipped below \$64.50 amid record global inventories and OPEC+ supply increases. In metals, rare-earth markets stabilized following China's decision to pause export controls for a year, providing temporary relief to U.S. producers. Agricultural commodities surged as soybean futures climbed to \$11.00 per bushel on new Chinese purchase commitments, bolstering export sentiment. Power markets reflected weather volatility - electricity prices fell 3.3% on colder forecasts and rising natural gas futures - signaling near-term demand swings heading into winter.

Currency: The dollar strengthened across major pairs following the Fed's hawkish tone despite the rate cut. The euro (EUR/USD) slipped as traders trimmed expectations for further easing, while the franc (USD/CHF) weakened 1.1% as the SNB stayed dovish. The yen (USD/JPY) held above 150 with Japan's loose policy and fiscal stimulus keeping pressure on the currency. The Canadian dollar (USD/CAD) softened after the Bank of Canada's third rate cut of the year, and the Aussie dollar (AUD/USD) edged higher on firm commodities and an assertive RBA stance. Overall, rate differentials and resilient U.S. data kept the greenback dominant, reinforcing a global tilt toward tighter financial conditions despite selective regional policy divergence.

» Rudra Gopal, Equities Analyst

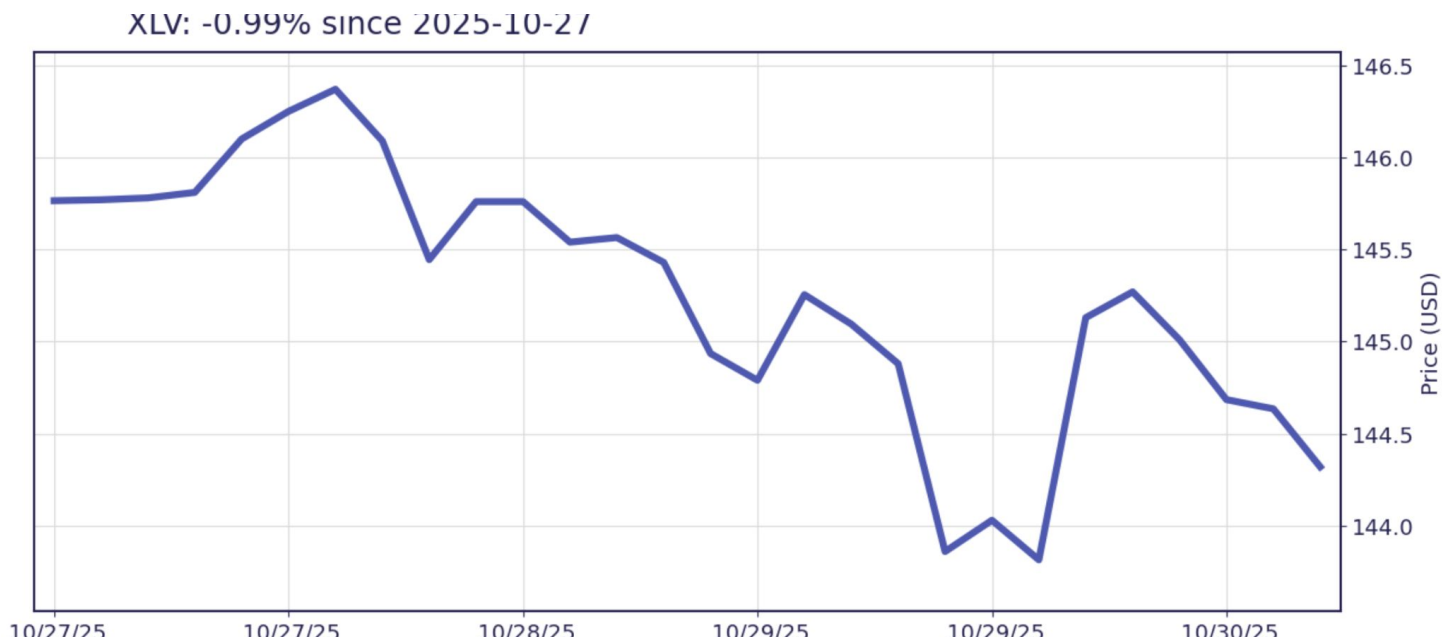
XLV Dips Slightly as Strong Earnings Offset Rate Pressures

The health care sector witnessed a modest pullback this week. The Health Care Select Sector SPDR Fund (XLV) dropped about 1.81% over the past five trading days, closing around \$144 level. This slight decline came despite several strong earnings reports from major healthcare companies; broader market factors weighed on sentiment. Overall, XLV's daily volume toward week's end (about 10.6 million shares on Friday) was a bit below its 12.5 million share average, thus suggesting no rush for the exits even as prices softened.

Broader macroeconomic currents played a role in healthcare's direction this week. Conventionally, this sector is considered a dividend-paying defensive sector, and rising long-term Treasury yields and strong PMI data raised concerns about prolonged high interest rates and thus, dampened the demand for such defensive sectors.

Last week also saw many earnings reports with companies like UNH, LLY, and MRK posting solid Q3 results. Moreover, large companies like JNJ and PFE showed resiliency and remained stable during the last week.

Other significant news this week was the intensifying focus on obesity and weight-loss treatment in the pharma industry; such developments can have a significant influence on healthcare sector sentiment. Overall, this week was driven by a few macro currents; however, the healthcare sector held up relatively well considering those headwinds, thanks to its strong earnings season.



» Krish Soni, Equities Analyst

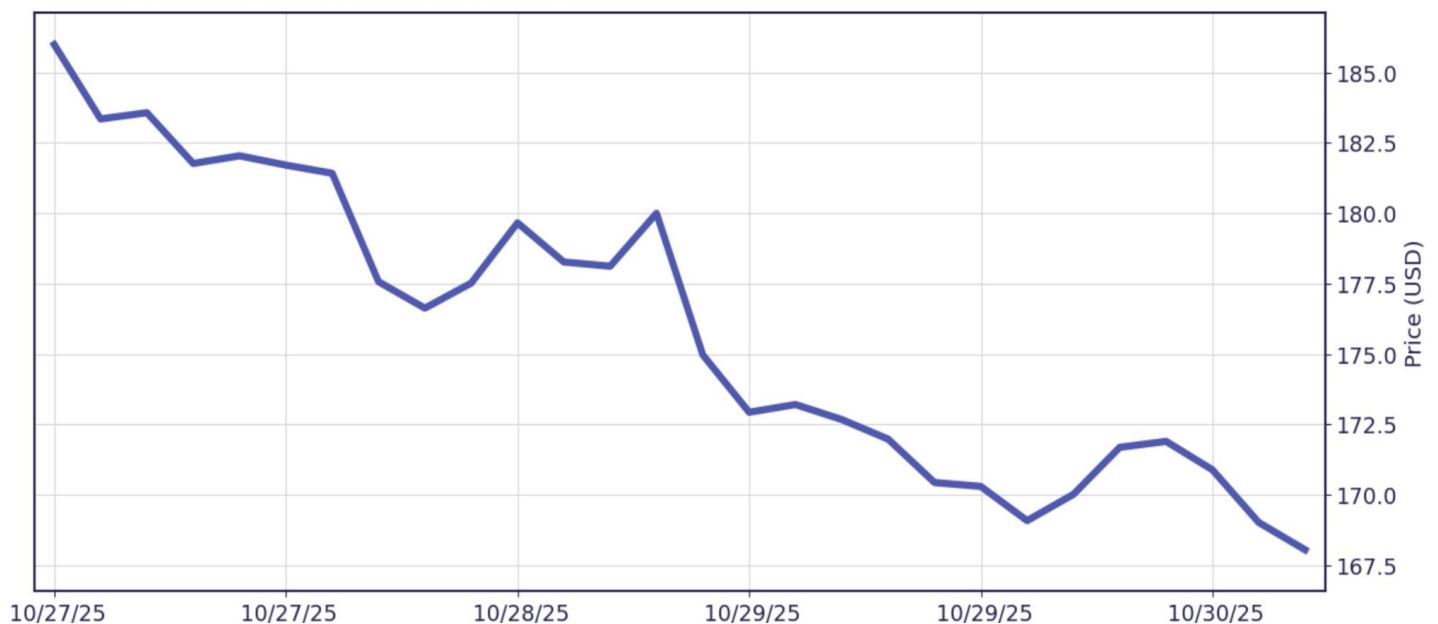
Lululemon: Short-Term Pullback, Long-Term Opportunity

Lululemon (NASDAQ: LULU) fell 9.65% this week, driven by investor caution surrounding tariff changes and softening U.S. demand. Despite short-term pressures, Lululemon's fundamentals remain exceptionally strong. Q2 2025 revenue rose 7% to \$2.5B, powered by expanding international growth—10 new stores in Rest of World markets and higher comparable sales in Mainland China, now representing 13% of total income. The Americas account for 75% of revenue but saw weaker store traffic amid lower consumer confidence and shifting discretionary spending. Gross margins of 59.1% and a 26.8% ROIC showcase the brand's pricing power and operational efficiency despite a 210 bps decline in operating margin to 20.7%.

Lululemon's moat remains wide, anchored in intangible assets (premium quality, design IP, and strong brand loyalty) and psychological switching costs tied to its community-driven lifestyle appeal. With 91% of CEO pay and 82% of executive pay at risk, management incentives are tightly aligned with shareholder performance. The firm continues robust buybacks, increasing share repurchases tenfold over the last quarter, and maintains a conservative balance sheet (40.2% D/E).

While tariffs have temporarily cut gross profit by ~\$10M YTD and may impact margins by ~\$240M annually, Lululemon's proactive vendor negotiations and selective price increases should mitigate most effects. Backed by its "Power of Three x2" strategy—international expansion, product innovation, and omnichannel growth—Lululemon remains a high-quality compounder with long-term upside once U.S. headwinds ease.

LULU: -9.65% since 2025-10-27



» Garrett Brady, Equities Analyst

XLY: Sputtering Out After a Strong Last 6 Months

XLY grew by 0.96 percent this week. XLY has also been growing at a solid rate over the last six months, with a 21.63 percent return during that time period. This is due to positive earnings reports, particularly in advertising revenues, cloud-adjacent services, and improving margins.

Mortgage rate increases in the housing sector slowed discretionary spending; however, the 30-year mortgage rate fell back from its highs, which increased consumer sentiment. Housing affordability has also remained a significant factor in how XLY performs, due to the close relationship observed between consumer confidence, borrowing costs, and discretionary demand.

Travel and leisure have also remained relatively stable, with businesses such as hotels, restaurants, and other service industries performing well, which helped counteract the weakness in apparel and automobiles. This demonstrates that discretionary spending encompasses not only physical goods but also services and experiences. Overall, travel spending is providing stability in a pretty unstable environment.

When evaluating the overall performance of XLY, it is essential to consider the risks associated with this fund. XLY is highly concentrated among a few companies, meaning that a significant event can significantly impact the overall performance of the fund, as we have seen in the past six months with strong earnings and the S&P 500 hitting an all-time high in the past week. Other risks that affect the performance of the XLY fund include rate sensitivity, cyclical, competitive dynamics, and regulatory and policy risks.



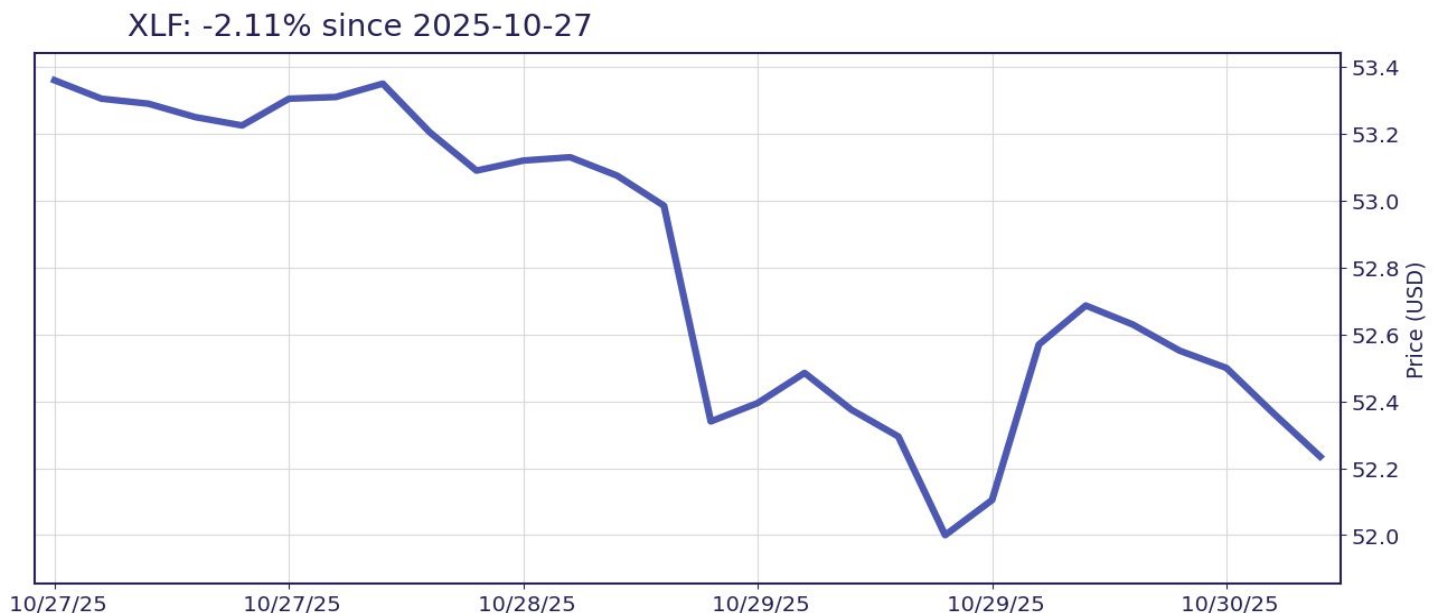
» Michael Pham, Equities Analyst

XLF Falls Slightly Due To Rate Cuts

XLF rose slightly during this past month, but showed a slight drop as investors digested the Fed rate cut from 4.00% to 3.75%. The month-to-date gain reflects a general sentiment of positivity across several large banks, while this recent dip appears to be short-term uncertainty over the Fed's recent policies.

Large banks such as Bank of America, JP Morgan Chase, and Wells Fargo have remained generally stable, with only slight increases or decreases in their prices. On October 29, 2025, the Federal Open Market Committee cut its target rate for the federal funds rate by 25 points, which in turn brought the rate to 3.75%. This is due to a weakening labour market, and inflation still being above their 2% target. What this means for the investors is that interest rates for banks may compress, but borrowing, spending, and investment may also increase, which can lead to positive economic growth.

The total returns for XLF have all been in the green, with their 1 month total returns being 0.14% and the total returns at the market close being 0.09%. This reflects a trend of steady performance, despite the short-term volatility. Looking forward, employment trends will be closely monitored, as this was a primary reason for the rate cut. For banks, the implications of this are significant, as slower job growth could lower demand for loans. However, if employment stabilized or even increases, it could boost consumer lending and business lending, which would lead to positive economic growth. The performance of major banks will likely reflect the broader trend of XLF for the next month.



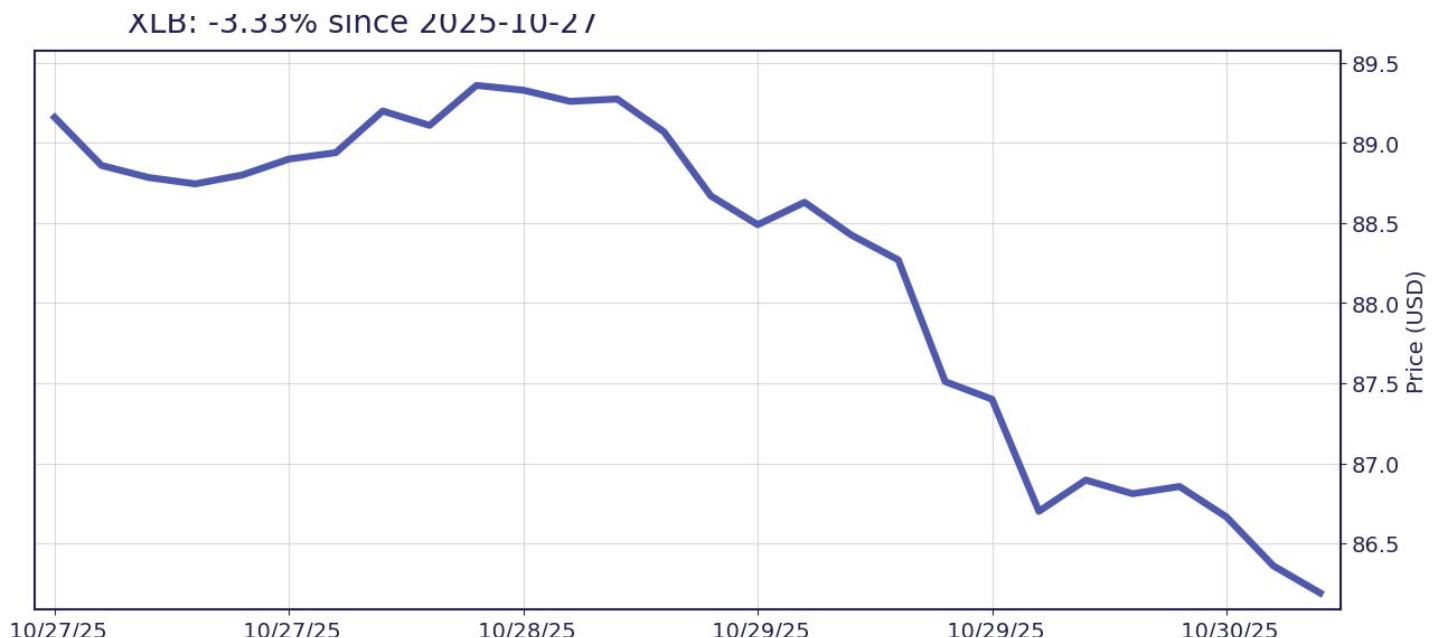
» Boyang Gong, Equities Analyst

XLB Trumbles as Top Holdings Slide

The Materials Select Sector SPDR Fund had a difficult week, falling sharply while the broader S&P 500 remained relatively flat. The fund closed the week at \$85.67, marking a significant drop from the previous week's close at \$89.38. This downturn appears to be broad-based within the sector, driven by poor performance from its largest components. Out of its top ten holdings, the majority ended the week in the red.

The decline was led by the fund's largest holding, Linde plc (LIN), which makes up over 15% of the fund and fell 2.7% on Friday alone. This is probably because Linde plc cautiously adjusted its EPS guidance for Q4, which trimmed near-term expectations. Other major players like Newmont Corp (NEM) and Sherwin-Williams Co (SHW) also contributed to the slide, dropping 1.63% and 0.85% respectively. This poor performance potentially comes from growing concerns about a potential global economic slowdown, which typically reduces demand for basic materials and chemicals. The uncertainty surrounding the new administration's trade policies may also be weighing on investor sentiment, as these companies are heavily reliant on global supply chains.

Despite the broad downturn, there are a few companies that managed to post gains. Nucor Corp (NUE) and DuPont de Nemours Inc. (DD) were among the bright spots, rising 0.21% and 0.22%. Nucor Corp's increases mainly driven by the strong Q3 2025 earnings that beat analyst expectations, strategic growth investments, and positive investor sentiment due to its position in high growth markets like data centers.



» Shivam Chopra, Fixed Income Analyst

From Calm to Caution - TIPS Ease as Real Yields Reprice Post-FOMC

The iShares TIPS Bond ETF (TIP) provides exposure to U.S. Treasury Inflation-Protected Securities, whose principal and coupon payments adjust with changes in the Consumer Price Index. With an effective duration of about 6.5 years, TIP reflects movements in real yields and inflation expectations.

Since September, TIP price has increased by 0.8% as real yields eased and economic growth data showed signs of slowing. Inflation remained close to 3% year-over-year, suggesting price pressures were cooling but still persistent. This combination, along with the expectations of future Fed easing, supported demand for inflation-linked bonds. Breakeven inflation narrowed slightly from about 2.4% to 2.3% as lower oil prices reduced short-term inflation volatility. Renewed tariff headlines also reinforced the idea that inflation would stay somewhat sticky, keeping breakevens stable.

Following the Federal Reserve's 25 bps hawkish cut on October 29, TIP lost approximately 0.4%. The Fed signaled that the cut was a fine-tuning move, not a shift toward easier policy, and markets reacted by lifting long-term real yields as investors demanded more compensation for holding duration. At the same time, uncertainty caused by the government shutdown and the Treasury's potential use of a proxy CPI index briefly affected underlying TIPS liquidity, despite ETF trading remaining active. Together, these factors lifted real yields, indicating that even a rate cut can tighten real financial conditions when the market views it as cautious rather than dovish.

TIP: +0.79% since 2025-09-01



» Javad Aslanov, Fixed Income Analyst

Intermediate Treasuries Navigate Fed's Pivot and Supply Uncertainty

Intermediate Treasuries spent the month trading the Fed's policy turn. The FOMC cut rates by a quarter point and signaled it will halt balance-sheet runoff on December 1, a meaningful swing toward easier policy. Yet Chair Powell kept the door open to doing less later, stressing uncertainty and a divided Committee so the supportive tone wasn't a one-way green light. That mix left the 7–10-year treasuries reacting more to guidance and balance-sheet signals than to growth headlines.

A government shutdown delayed key releases, but the September CPI still landed and suggested disinflation progress without decisively declaring clear long-term improvement. Meanwhile, supply dynamics took the spotlight as the U.S. Department of the Treasury announced elevated borrowing for the fourth quarter and markets prepared for the early-November quarterly refunding. Both factors can nudge the term premiums and are the factors that matter most for intermediates.

Looking ahead, IEF is set up for a phase where it benefits if easier policy and refunding details continue, but it remains sensitive to any market shocks and inflation figures. With some strategists already framing October's cut as possibly the last of the year, the future outcome rests on refunding composition and the next inflation updates rather than on bold new guidance.



» Khalil Ben Zina, Fixed Income Analyst

SPDR Bloomberg High Yield Bond ETF (JNK)

The JNK (SPDR Bloomberg High Yield Bond ETF) provides exposure to U.S. dollar-denominated, non-investment-grade corporate bonds by tracking the Bloomberg U.S. High Yield Very Liquid Index. As of late October 2025, JNK held approximately \$7.9 billion in assets with an effective duration of 3.6 years and an average yield to maturity near 8.2 %. The fund's 30-day SEC yield stood around 7.9 %, reflecting the higher income potential of the speculative-grade credit market. Year-to-date, JNK has gained about +5.1 %, supported by strong demand for yield-oriented assets and narrowing spreads across the high-yield space.

Recent market performance highlights a rebound in risk appetite as investors anticipate that the Federal Reserve could begin cutting rates in 2026. Option-adjusted spreads on high-yield bonds have compressed to roughly 350 basis points by late October 2025, their tightest level in nearly two years. The recovery has been driven by resilient corporate earnings, steady employment data, and declining default expectations, all of which have strengthened confidence in lower-rated issuers. However, the rally also leaves limited room for error. With Treasury yields still relatively high and credit spreads tight, high-yield valuations appear rich compared to long-term averages. If growth slows or refinancing conditions tighten, JNK could face renewed volatility as investors reassess credit risk. Overall, the fund remains a useful gauge of market risk sentiment, balancing elevated yield opportunities against higher sensitivity to changes in economic outlook and policy direction.



» Ira Pathak, Commodities Analyst

Natural Gas Climbs 3.42% as Storage Remains Robust

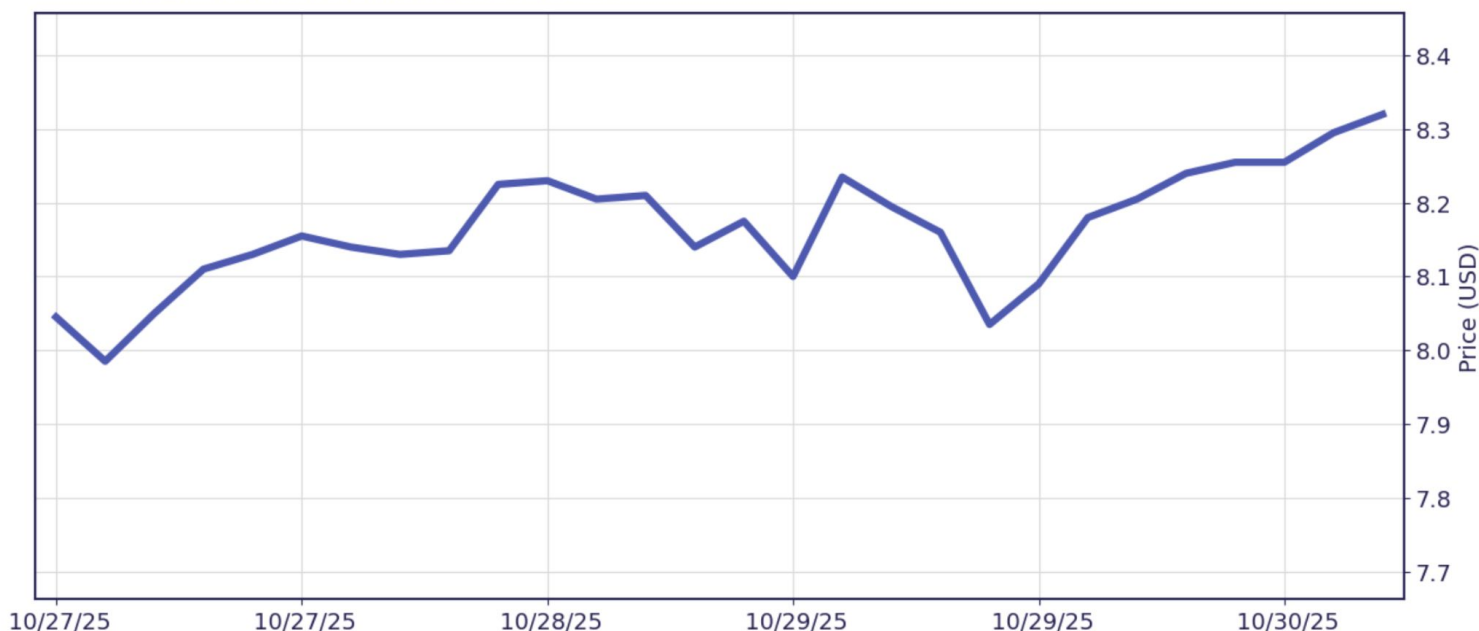
U.S. natural gas futures at Henry Hub rose over the week, closing at ~\$4.12/MMBtu on 31 October 2025, marking a +3.42% gain for the week. Forward markets indicate expectations of ~\$4.28/MMBtu by the end of the quarter, reflecting moderate bullish sentiment among analysts.

The EIA reported a working gas storage level of 3,808 Bcf for the week ended 17 October 2025, following a net injection of +87 Bcf. This is 34 Bcf above last year and 164 Bcf higher than the five-year average of 3,644 Bcf, signaling a well-supplied market heading into the heating season. Robust domestic production, projected at ~107 Bcf/d, continues to support supply levels, mitigating extreme price volatility despite upward market pressure.

Over the week, market dynamics were influenced by high inventory levels, steady production, and near-normal weather forecasts. The typical bullish “tight storage ahead of winter” signal was muted due to strong injections, while the modest difference between spot prices (~\$4.12) and end-of-quarter forecasts (~\$4.28) indicates only moderate upside is anticipated. Key upside risks include unexpected cold weather, surging LNG exports, or supply disruptions, while downside risks stem from milder temperatures, higher-than-expected injections, or weaker global LNG demand.

Looking ahead, the near-term outlook remains moderately bullish, with a plausible price range of ~\$3.75–\$4.50/MMBtu under normal conditions. Medium-term, prices around ~\$4/MMBtu appear sustainable given the current inventory and production trends, but a breakout above ~\$5/MMBtu seems unlikely without significant market shocks.

NG: +3.42% since 2025-10-27



» Mohan Hegde, Commodities Analyst

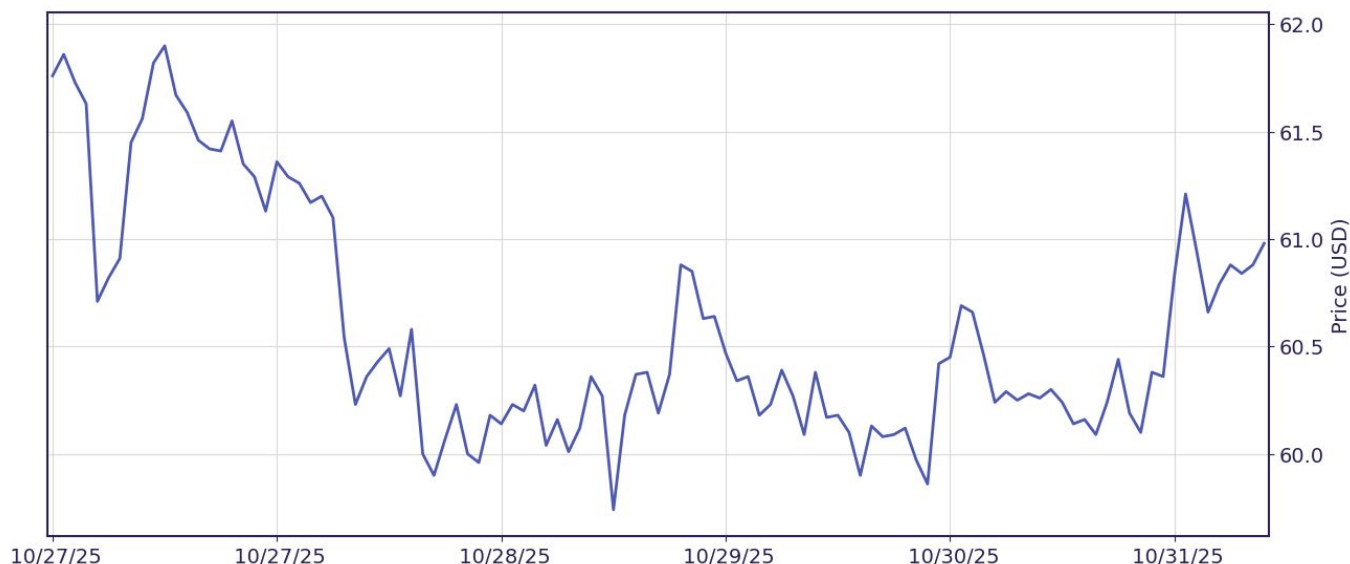
WTI Rises Slightly on Geopolitical Tensions as OPEC+ Pauses Production Growth

WTI crude oil futures edged higher on Friday, settling at \$60.89 per barrel, and concluding a week that saw prices fall below \$60 a barrel. Reports that the U.S. administration is preparing potential military strikes on Venezuelan targets added near-term supply anxiety, following recent sanctions on Russian producers Rosneft and Lukoil aimed at limiting flows of discounted barrels to Asia. These measures injected uncertainty into Russian export volumes and stirred speculation of tighter global supply.

Still, underlying fundamentals point to a market cushioned by ample availability. OPEC+ confirmed a modest December output increase of 137,000 barrels per day, consistent with prior months, while signaling a pause in further hikes through the first quarter of 2026. The decision reflects the group's attempt to balance market share ambitions with rising fears of a supply glut, as global tanker volumes reached a record 1.4 billion barrels and production from the U.S. and North Sea continues to climb. Analysts described the move as a “calculated pause,” allowing OPEC+ to protect prices and reassess the impact of Western sanctions on Russia's output before resuming its broader production unwind.

Oil prices have recovered from lows in late October, supported by sanction-related uncertainty and optimism around U.S. trade discussions, but traders remain cautious heading into the seasonally weak January–March demand period. With OPEC+ supply discipline offset by high global inventories, WTI is likely to trade in a narrow range near current levels, with upside constrained by persistent oversupply and downside cushioned by geopolitical risk.

CL=F: -1.26% since 2025-10-27



» Arnav Kumar, Commodities Analyst

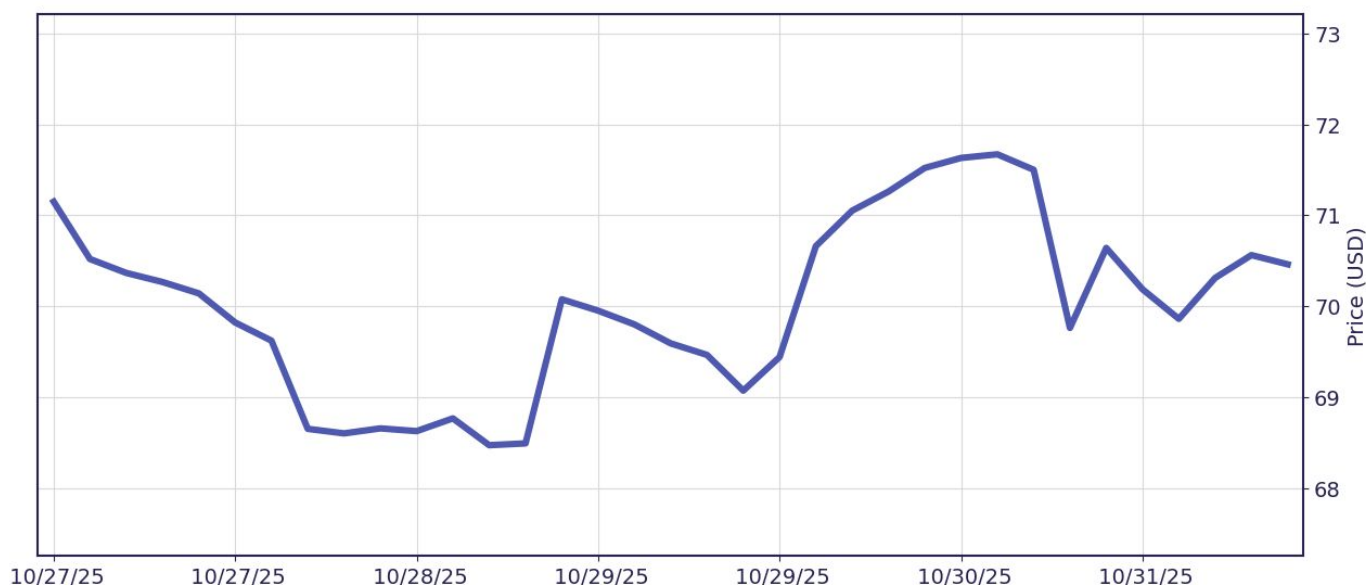
1-Year Pause on China's Rare Earths Export Controls offers Short-term Relief

The VanEck Rare Earth/Strategic Metals ETF (REMX) once again showed significant volatility this past week, although closing with a modest -0.97% week-on-week decline. The ETF was on a steady decline early in the week as investors nervously waited on developments from US-China trade talks being held in South Korea. On Thursday, China announced a one-year pause on their new export controls on Rare Earth Metals, which was initially proposed to come into effect on December 1st of this year. This led to significant relief in the industry as although the 1-year pause is not a long-term resolution, it enables major players in the market to develop adaptability.

REMX consequently grew in the mid-week from \$69.00 to \$71.60 as investors speculated that the lack of a concrete deal will signal upcoming investment in the domestic Rare Earths market to ensure future stability. Investors are also optimistic that ongoing negotiations for deals with countries like Australia in the Rare Earths space will help to diversify the US companies away from China and supplement domestic industry growth.

Investors will be eager to see if the US and China can establish a permanent deal on the trade of Rare Earths in the near future. If such a deal comes to fruition, REMX may experience a sharp decline as domestic suppliers are no longer under expectation to overtake market share from Chinese producers.

REMX: -0.97% since 2025-10-25



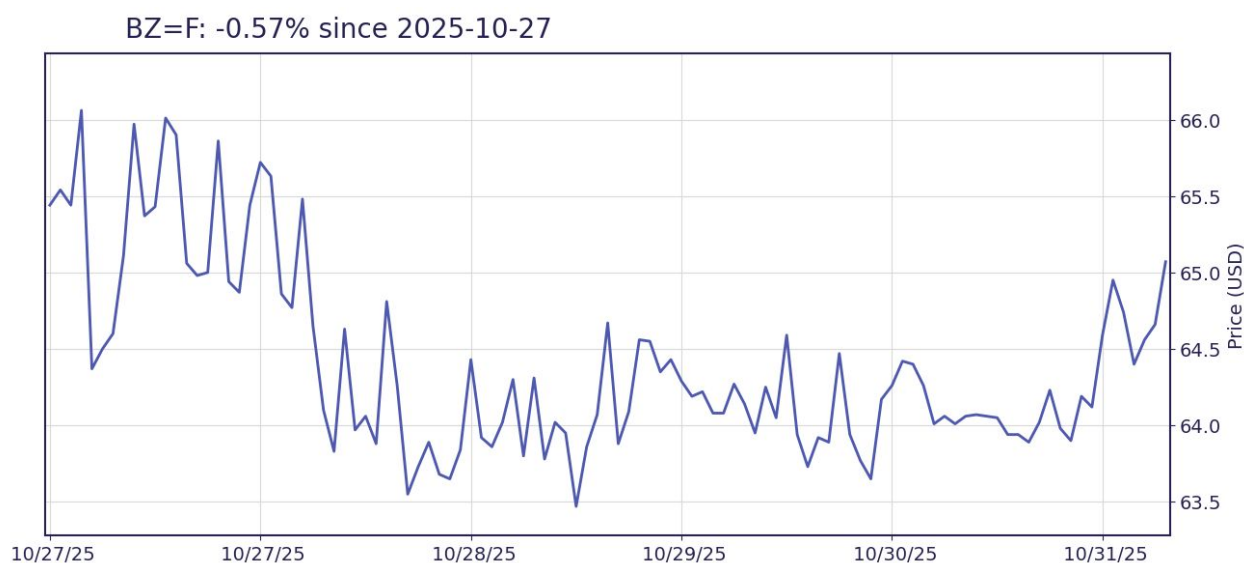
» Khoa Dang, Commodities Analyst

Brent Crude Declines on Supply Pressure

Brent crude oil prices fell below \$64.50 this week, retreating from their two-week high as supply-side pressures outweighed geopolitical risks. The decline comes amid rising global inventories and expectations of increased production from major producers.

Globally, oil at sea surged to a record 1.4 billion barrels, signaling oversupply in an already well-supplied market. Additionally, oil production continues to climb, driven by strong output from U.S. producers and an upcoming OPEC+ supply increase of 137,000 barrels per day scheduled for December as they seek to regain market share. Geopolitical developments offered limited support to prices. U.S. President Donald Trump met with Chinese President Xi Jinping on Thursday to discuss trade relations. While discussions focused on reducing trade barriers, the issue of China's oil imports from Russia was not addressed. The absence of pressure on Russia's largest buyer reduced any upward price momentum. On Friday, Oct. 31, a minor price uptick followed increasing military tensions in Venezuela, but the market reaction remained muted, highlighting the market's reduced sensitivity to geopolitical shocks.

Looking ahead, Brent crude is likely to face continued downward pressure. Rising production, elevated inventories at sea, and an easing of geopolitical risk premiums all contribute to a bearish outlook. These supply factors appear strong enough to offset recent U.S. sanctions on Russian oil. Unless there is a significant disruption to global supply or a sharp shift in demand, Brent prices are expected to remain under pressure in the near term as the market adjusts to excess supply and slowing momentum in geopolitical risk.



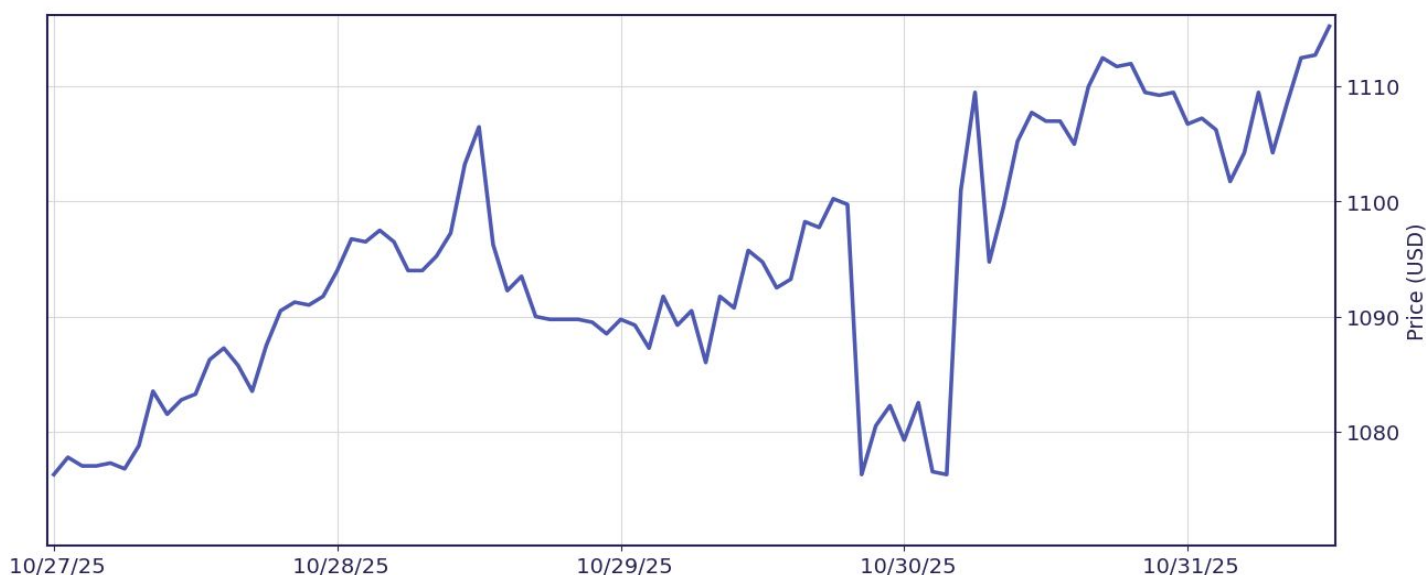
» Dev Patel, Commodities Analyst

China's Renewed Soybean Purchases Lift Prices, but Uncertainty Persists

This past week, soybean futures climbed to multi-week highs, trading around \$11.00 per bushel. This upward momentum comes after President Trump's and Chinese President Xi Jinping meeting on Thursday, which created new optimism of Chinese demand strengthening export prospects for American soybean producers. China agreed to purchase 12 million metric tons of U.S. soybeans this season, with a commitment to buy 25 million tons annually for the next three years. Reports indicate that China has already bought at least four U.S. soybean cargoes for later shipment following the agreement. This development provides a much-needed boost to market sentiment after growing concerns over tariffs lowering US competitiveness, as China remains the world's largest soybean importer and the largest buyer for U.S. farmers. However, despite the initial optimism, analysts have cautioned that even with the new commitments, Chinese imports may still fall short of the volumes seen in previous years before the trade tensions began. The global soybean market also remains competitive, with Brazil and Argentina continuing to produce record harvests that challenge U.S. export share.

Looking ahead, the near-term outlook for soybeans appears cautiously bullish to neutral. If the Chinese purchases materialize and weather conditions tighten supply in the U.S. or South America, prices could extend higher. Conversely, if supply lag or Chinese buying slows, markets may retrace the new gains.

ZS=F: +3.62% since 2025-10-26



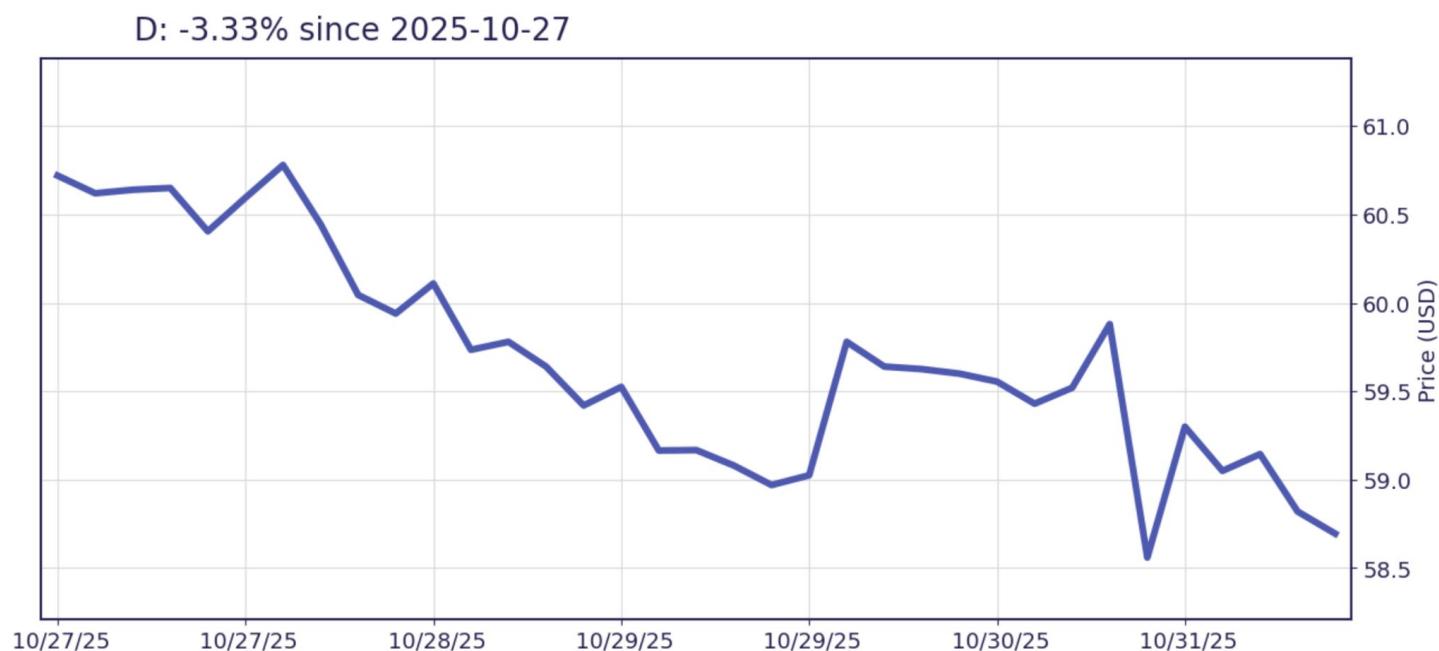
» Shruti Satheesh, Commodities Analyst

Stronger 'Cold Snap' Causes Power Prices to Decline

This final week of October, power commodities concluded the week with a significant shift in sentiment, driven primarily by evolving forecasts. Driven by the accelerating forecast for colder weather in the first half of November, wholesale electricity prices across the nation experienced a decline. This week, Dominion Energy, which provides regulated electricity and natural gas services in the United States, saw its prices ultimately reverse their early-week trend, closing higher as late-week cold forecasts overshadowed earlier bearish sentiment.

Prices declined by approximately **3.33%** over the past week, concluding their third-quarter 2025 financial results on Friday, October 31st. The colder snap (predicted to be "dramatically colder" across the central and eastern U.S.) forced traders to aggressively price in higher heating demand and greater risk of supply constraints.

Natural gas futures mirrored this sentiment, rising roughly 2.5% on expectations of increased residential consumption and lower storage injections. The broader utility sector also saw modest volatility, as colder weather projections reinforced near-term demand strength but heightened concerns over grid reliability heading into November.



USD/CHF climbs above 0.80 as Fed caution lifts the dollar, SNB stays dovish

The dollar's strength was reinforced by persistently high U.S. real yields and resilient risk sentiment. Equity markets advanced, and the VIX remained below 18, reflecting steady investor confidence in U.S. assets. Against this backdrop, USD/CHF rose about 1.1% on the week, pushing above the 0.8000 level for the first time since early October.

Broader sentiment also favored the dollar. Signs of progress in U.S.- China trade relations and easing geopolitical tensions lifted global risk appetite, reducing demand for defensive currencies like the franc.



» Shivam Chopra, Currency Analyst

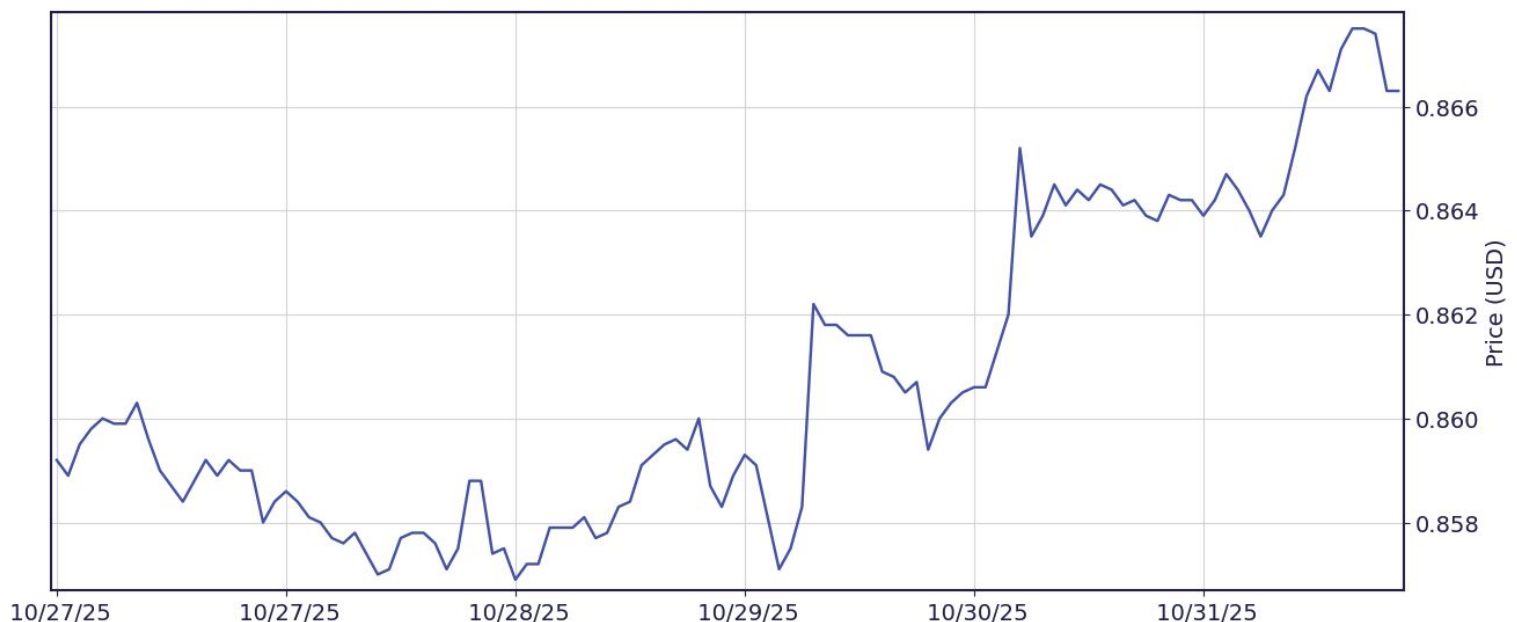
Euro Struggles as Fed Tone Turns Hawkish and ECB Stays Cautious

The euro lost ground this week, failing to benefit from the Federal Reserve's rate cut as markets quickly refocused on a more cautious Fed tone. Despite the move, the dollar strengthened after Chair Jerome Powell signaled that further easing was not guaranteed, leading traders to trim expectations for another cut in December (probability down from about 90 to 70 percent).

With inflation still elevated and U.S. real yields high, the Fed's hawkish message supported the dollar. Strong equity performance and low volatility, with the VIX below 18, added to confidence in U.S. assets. In Europe, the ECB kept rates unchanged and remained cautious, while manufacturing data softened again. The eurozone PMI slipped back below 50 in October after briefly crossing into expansion in August, and hiring momentum continued to weaken.

Optimism around a U.S. - China trade truce and steady fiscal headlines provided further support to the USD. If upcoming data, especially jobs numbers, show signs of weakness, the chances of another Fed cut could rise and help the euro recover some of its recent losses. For now, though, rate differentials and growth momentum continue to favor a stronger dollar.

EUR=X: +0.83% since 2025-10-26



» Purvi Kathalkar, Currency Analyst

USD/JPY Nearing Monthly Highs as Dollar's Strength is Sustained

The USD/JPY, currently at 154, is reaching its peak based on data from the past few months. It largely maintained levels above 150 throughout October, demonstrating an overall upwards trend which reflects the U.S. dollar's strength against the yen.

The unlikeliness of the Fed to cut interest rates soon and the sustained high U.S. Treasury yields have both supported the U.S. dollar. At the same time, uncertainty surrounding the U.S. government shutdown and fiscal negotiations briefly weighed on sentiment but ultimately led to the favor of the dollar. In comparison to this hawkish stance from the Fed, the BoJ has not indicated an increase in their rates before the end of the year. On top of this, the Japanese prime minister is seeking to focus more on government spending, causing the yen to become weaker.

In the future, the USD/JPY pair's direction will shift based on U.S. rate expectations, BoJ policy signals, and potential intervention efforts from Japan. As a result, it would be useful to keep an eye on U.S. inflation data, Treasury yields, and potential changes in Japan's yield curve policy.

JPY=X: +0.69% since 2025-10-26



» Kavya Adusumilli, Currency Analyst

USD/CAD: Canadian Dollar Struggles as BoC Cuts Rates and Oil Slips

The U.S. dollar remained firm against the Canadian dollar this week, with the USD/CAD being between 1.39 and 1.41. The Canadian dollar faced pressure due to a Bank of Canada (BoC) interest rate cut, as cautious market sentiment and stronger U.S. yields kept the dollar supported.

The BoC lowered by 25 bps to 2.25%, making that its third cut this year, hoping support Canada's slowing economy. Governor Macklem suggested that the Bank of Canada is likely done cutting rates for now, seeming more confident about preventing the Canadian dollar from slipping further. The Federal Reserve had officials emphasizing a data-dependent approach to future rate decisions. Expectations that the Fed will hold rates steady up into December improved the U.S. dollar.

The U.S. dollar benefited from higher Treasury yields mixed global PMI data and renewed U.S. Canada trade tensions. On the Canadian side, weaker GDP and labor indicators weighed on sentiment, while steady oil prices near \$82/bbl slightly helped. The difference in rate between U.S. and Canadian bonds widened slightly, reinforcing USD support.

With the Bank of Canada likely done cutting rates and oil prices steady, USD/CAD is expected to stay near the 1.39–1.41 range in the short term.

CAD=X: +0.17% since 2025-10-27



» Jane Sun, Currency Analyst

AUD/USD Lifted by Commodities and Firm RBA Tone

Market Overview

AUD/USD posted a modest gain this week, supported by steady commodity demand and a firm stance from the Reserve Bank of Australia. Sticky services inflation kept the RBA cautious, while mixed U.S. data reinforced expectations of a steady Fed rather than renewed tightening. Improved sentiment around China and firmer iron ore prices helped lift the Aussie early in the week before momentum cooled.

The pair briefly pushed toward **~0.662** before pulling back into the end of the week, finishing near **~0.656** and up roughly **+0.68%** from last Friday's close.

Trading Strategies That Worked This Week

Long AUD/USD positions early in the week worked as commodities and risk sentiment improved.

Call spreads and scaled spot entries captured the upside without chasing. AUD also outperformed NZD as markets leaned toward a stickier RBA stance. Later in the week, **profit-taking and tighter risk** helped as the pair faded off highs.

This week underscored how closely AUD trades with commodities, China sentiment, and central-bank tone. With near-term catalysts ahead, U.S. inflation data and RBA commentary, AUD/USD may stay active. If global risk appetite holds and U.S. disinflation continues, the Aussie could stay supported, though volatility around data remains a key theme.



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